

Axis Bank (AXSB)

BUY

Credit growth improved; restructured assets at 0.63%

Summary

Axis Bank's credit growth improved to 17% YoY (10% YoY Q2FY22) led by balance sheet adjustment corresponding quarter last year. Restructured assets stood at 0.63% lower than its peers; as minimal restructuring under 2.0. Asset quality improved with GNPA at 3.17% vs 3.53% led by lower slippages and higher recoveries and upgrades. PAT grew by 223% YoY led by lower provisions (down 64% YoY). NII grew by 17% YoY led by improvement in NIMs at 3.53% (3.39% QoQ). PPOP grew by 17% YoY (up 4% QoQ) led by higher other income (up 31% YoY). With management change behind and strong capital in place, AXISB would see better revival in growth within the sector. We maintained 'BUY' rating with TP of Rs. 990 valuing it at 2.1x P/ABV FY24E.

Key Highlights and Investment Rationale

- **Credit growth improved:** Credit growth improved to 17% YoY (10% YoY Q2FY22) led by across the segments. Retail portfolio grew by 18% YoY (16% Q2FY22); corporate book grew by 7% QoQ. Retail disbursements grew by 37% YoY (up 19% QoQ). Deposits grew by 22% YoY with CASA at 44%.
- **Asset quality improved; restructured assets at 0.63%:** Asset quality improved with GNPA at 3.17% vs 3.53% QoQ; led by lower slippages. Slippage ratio declined to 2.6% (annualized) vs 3.4% QoQ. BB & below book stood at 0.9; restructured assets stood at 0.63% of customer assets lower than its peers.
- **NIMs improved sequentially; Cost to income ratio inched up:** NIMs improved by 14bps QoQ to 3.53% led by higher spreads. Higher operating expenses (up 25% YoY) resulted in increase in cost to income ratio to 51% (vs 49% YoY).
- **Outlook:** Management has proactively written off the stress assets (no sale to ARC) impacted by Covid-19. Bank has one of the better liability franchises with strong CASA ratio at ~44% which suffices well in current environment.

TP Rs.990

CMP Rs.704

Potential upside/downside +41%

Previous Rating BUY

Price Performance (%)

	-1m	-3m	-12m
Absolute	5.5	(13.8)	9.3
Rel to Sensex	4.9	(8.3)	(8.3)

V/s Consensus

EPS (Rs)	FY22E	FY23E	FY24E
IDBI Capital	41.7	57.4	65.9
Consensus	41.9	55.4	67.4
% difference	(0.5)	3.6	(2.2)

Key Stock Data

Bloomberg / Reuters	AXSB IN / AXBK.BO
Sector	Banking
Shares o/s (mn)	3,068
Market cap. (Rs mn)	2,160,763
3-m daily avg Trd value (Rs mn)	459.4
52-week high / low	Rs867 / 617
Sensex / Nifty	57,492 / 17,149

Shareholding Pattern (%)

Promoters	9.7
FII	47.4
DII	25.4
Public	17.5

Financial snapshot

(Rs mn)

Year	FY2020	FY2021	FY2022E	FY2023E	FY2024E
NII	252,062	292,391	335,545	386,579	432,428
Change (yoy, %)		16.0%	14.8%	15.2%	11.9%
Net Profit	16,273	65,885	127,826	175,760	201,807
Change (yoy, %)		304.9%	94.0%	37.5%	14.8%
EPS (Rs)	5.8	21.5	41.7	57.4	65.9
Change (yoy, %)		270.7%	94.0%	37.6%	14.8%
ABV (Rs)	276.2	314.5	349.6	403.6	462.4
PER (x)	122.1	32.8	16.9	12.3	10.7
P/ABV (x)	2.6	2.2	2.0	1.7	1.5
ROE (%)	2.1	7.1	11.9	14.4	14.4
ROA (%)	0.2	0.7	1.2	1.5	1.6
GNPA (%)	5.1	3.9	3.2	2.9	2.8
NNPA (%)	1.6	1.1	1.3	1.2	1.3
CAR (%)	17.5	19.1	18.2	17.8	18.0

Source: IDBI Capital Research

Bunty Chawla

Bunty.chawla@idbicapital.com
+91-22-2217 1814

Melwin Mathew

Melwin.mathew@idbicapital.com
+91-22- 2217 1819

Conference Call Highlights

Operating Expenses:

- For technology, 7.8-8% of the total expenses for the bank. By exit FY23, bank believes it should be able to achieve the 2% Cost to Assets. As benefits starts flowing, reflected on the cost to asset ratio. Cost to asset ratio steady, in the same range as other peers. Cost escalation visible, however, no divergence in nature.
- 24% of the cost increase is volume linked, 41% relates to investment in future growth, 21% relates to collection, covid and statutory expenses, 14% organic expansion growth.

Disbursement:

- Bank focusing on growth in specific segments like mid corporate, CBG (one point below mid-corporate), working capital utilization, credit off-take across industrials, renewables, chemicals, NBFCs. For rural, strong growth in disbursement at 66% YoY and the bank's focus is on farmer finance, micro-loans, gold loans, enterprise, MSME, with growth to pick up.

Credit cost:

- In terms of PCR, the average used to be 50-55%, now at 70%+, which needs to be factored in while understanding the outlook for credit cost.
- Bank is comfortable growing Retail asset book, providing better NIMs (accrete to credit cost).

M&A:

- Bank's aspirational target for ROE is 18%, there is visibility of ~16-16.5%. In terms of M&A, the bank is looking at capability, evaluate opportunities, financial health of the organization.

Asset Quality:

- The slippage from BB pool was Rs.800cr. includes one technical slippage of Rs.160cr. The upgrade from NPA to BB pool is Rs.355cr. and all other downgrade/balance reduction movement at Rs.194cr.
- On the Rs.13,500cr. provision, Rs.5012cr. is the Covid provision, prudent outlook with no underlying risk of the book. 51% of NPA provisions were on account of slow forwards. The Loan Loss Provisions at Rs.790cr.

Exhibit 1: Quarterly Snapshot

(Rs mn)

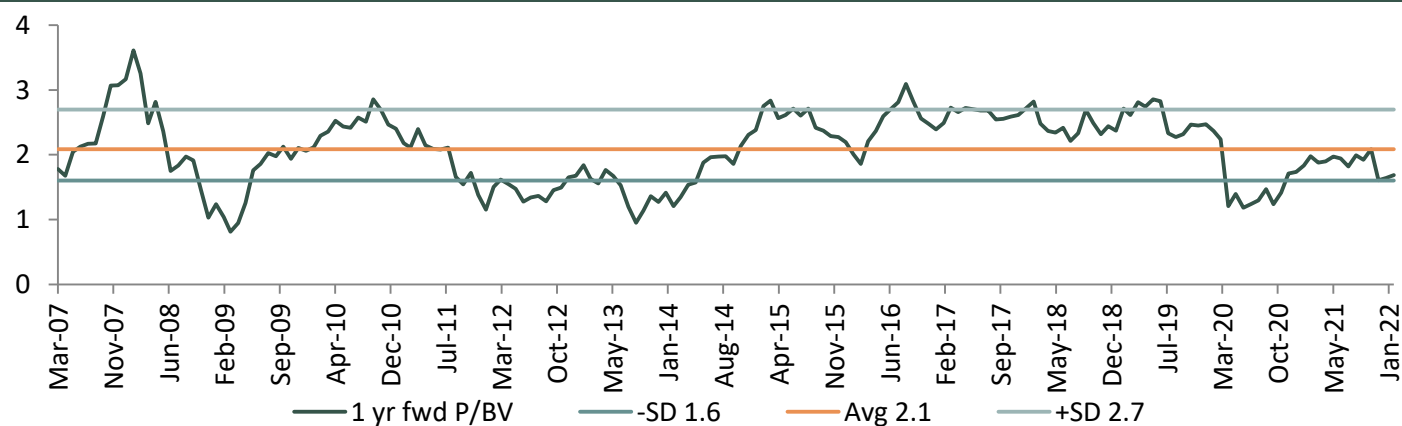
Year-end: March	Q3FY22	Q3FY21	Q2FY22	YoY (%)	QoQ (%)
Interest Income	172,611	154,257	163,360	11.9	5.7
Interest Expenses	86,086	80,529	84,357	6.9	2.0
Net Interest Income	86,525	73,728	79,003	17.4	9.5
NIM (%)	3.5	3.4	3.6	13 bps	-3 bps
Non-Interest Income	38,404	29,290	37,984	31.1	1.1
Operating Income	124,929	103,017	116,987	21.3	6.8
Staff Cost	19,386	16,774	19,355	15.6	0.2
Other Op Exp	43,928	33,759	38,350	30.1	14.5
Total Operating Expenses	63,314	50,533	57,705	25.3	9.7
<i>Cost to Income (%)</i>	<i>50.7</i>	<i>49.1</i>	<i>49.3</i>	<i>163 bps</i>	<i>135 bps</i>
Operating Profit	61,615	52,484	59,282	17.4	3.9
Provisions	13,348	37,572	17,351	-64.5	-23.1
PBT	48,267	14,912	41,931	223.7	15.1
Tax	12,125	3,746	10,598	223.7	14.4
<i>-effective tax rate</i>	<i>25.1</i>	<i>25.1</i>	<i>25.3</i>	<i>0 bps</i>	<i>-15 bps</i>
PAT	36,142	11,166	31,333	223.7	15.3
EPS (Rs)	11.8	3.6	10.2	223.0	15.3
BV (Rs)	361.0	322.8	349.2	11.8	3.4
Deposits	7,716,702	6,412,150	7,362,855	20.3	4.8
Advances	6,648,656	5,698,290	6,217,193	16.7	6.9

Source: Company; IDBI Capital Research

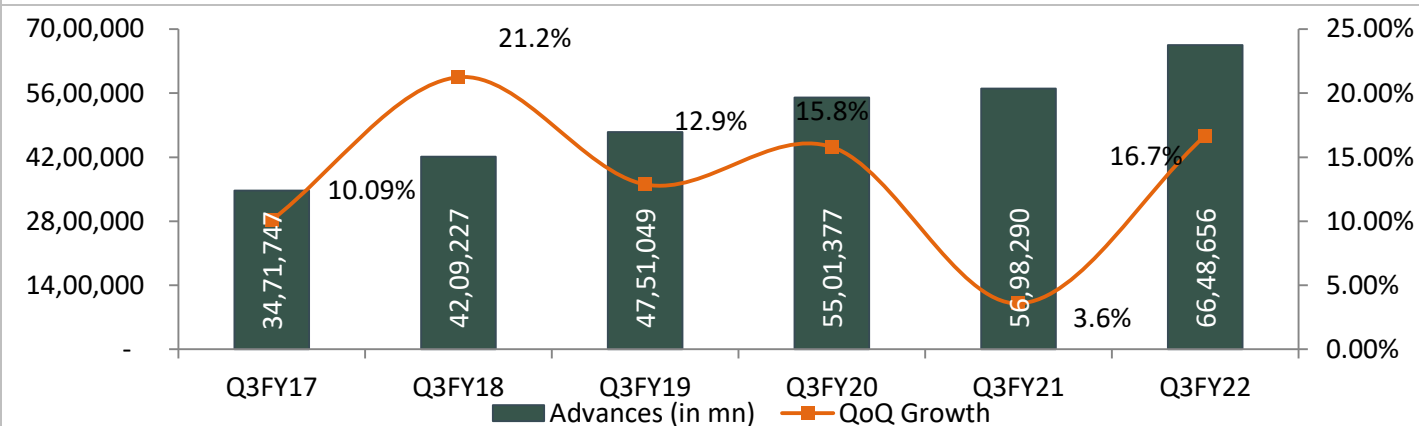
Exhibit 2: ROE Decomposition

(%)	FY20	FY21	FY22E	FY23E	FY24E
NII	2.94	3.06	3.14	3.28	3.37
Fees	1.56	1.31	1.24	1.33	1.37
Other Income	0.25	0.24	0.16	0.25	0.25
Net Revenue	4.75	4.61	4.54	4.86	4.99
Op.Exp	2.02	1.92	2.17	2.03	2.09
Op.Profit	2.73	2.69	2.37	2.83	2.90
Provisions	2.16	1.77	0.77	0.84	0.80
PBT	0.57	0.92	1.60	1.99	2.10
Tax	0.38	0.23	0.40	0.50	0.53
PAT	0.19	0.69	1.20	1.49	1.57
Leverage (x)	11.32	10.25	9.93	9.64	9.12
ROE	2.15	7.06	11.87	14.38	14.36

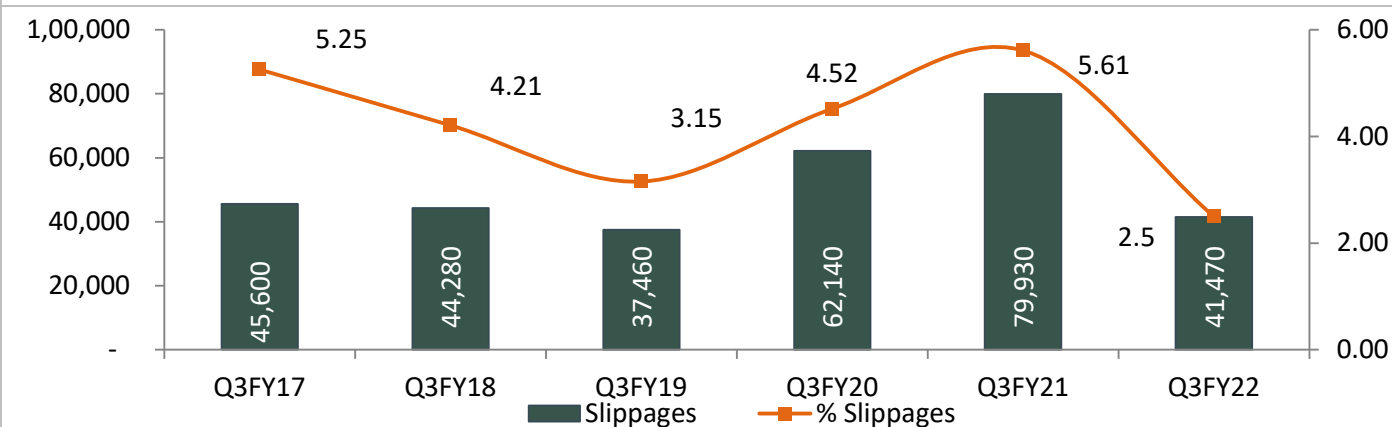
Source: Company; IDBI Capital Research

Exhibit 3: One-year forward P/ABV

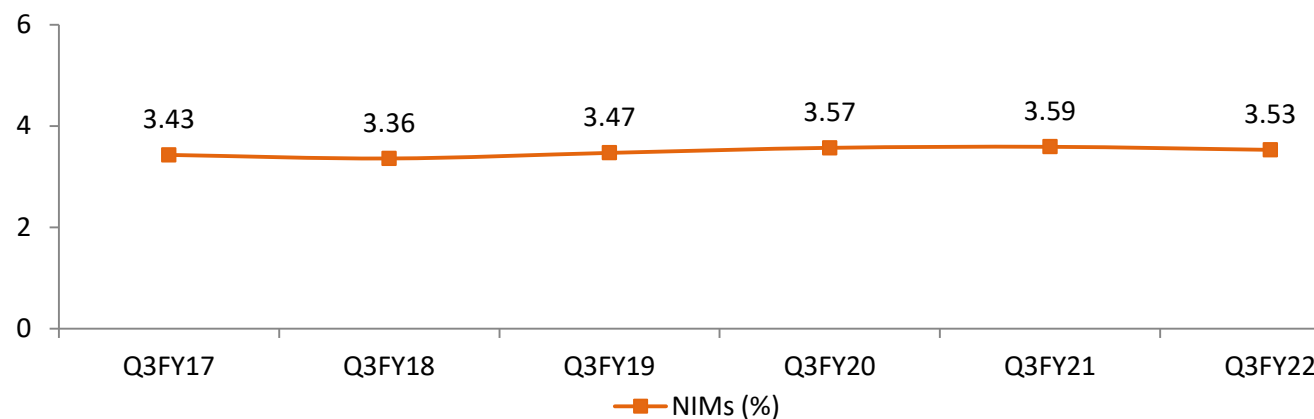
Source: Company; IDBI Capital Research

Exhibit 4: Advances growth improved

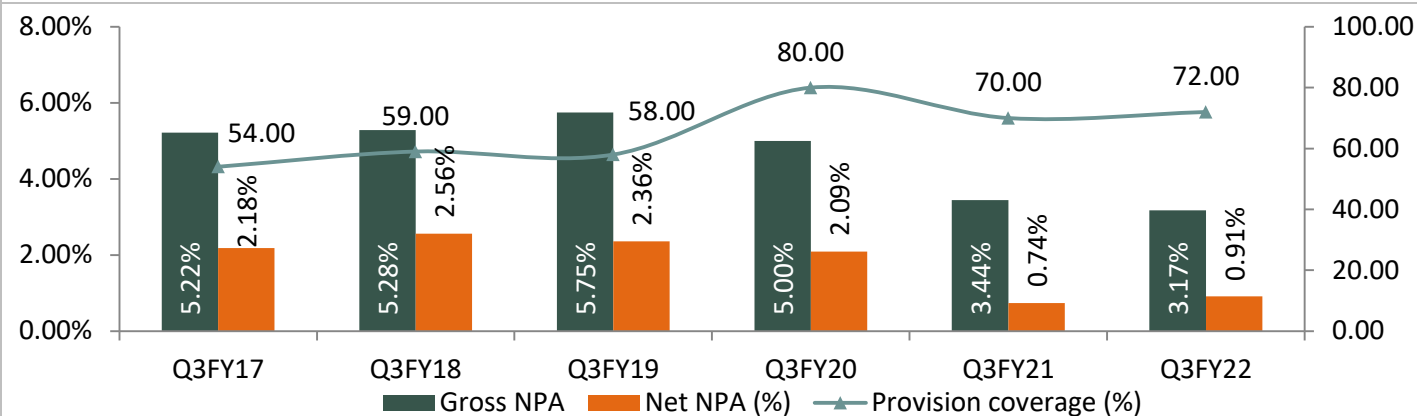
Source: Company; IDBI Capital Research

Exhibit 5: Slippage ratio has declined

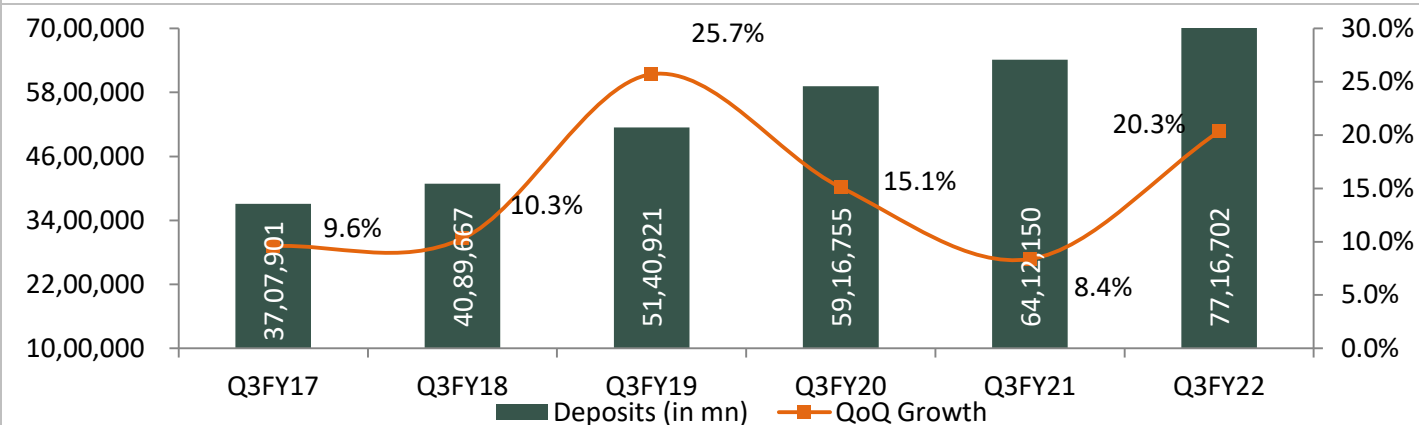
Source: Company; IDBI Capital Research

Exhibit 6: Net Interest margins have remain rangebound

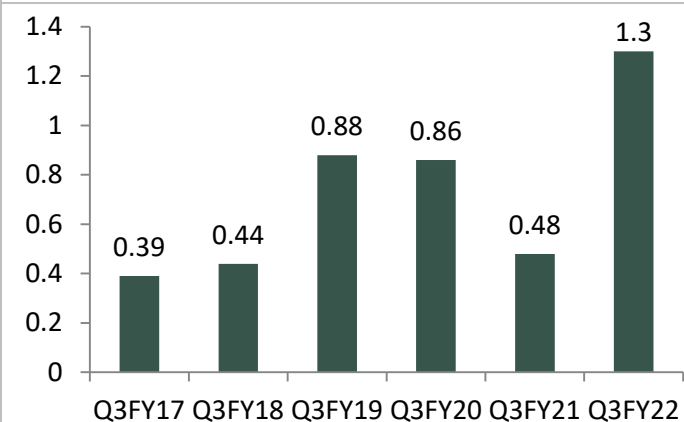
Source: Company; IDBI Capital Research

Exhibit 7: Asset quality improves as Covid-19 impact abates

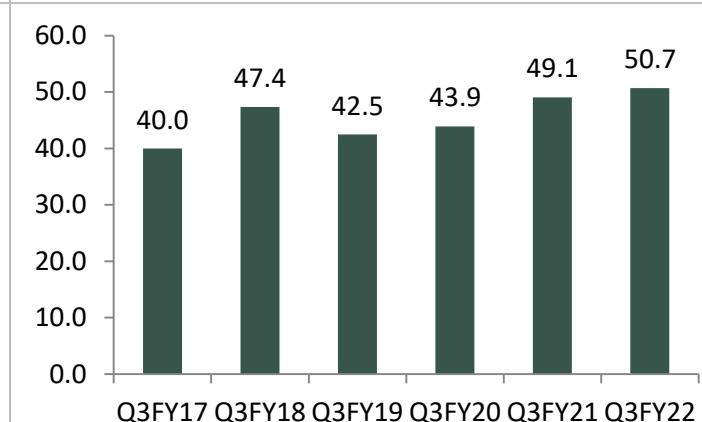
Source: Company; IDBI Capital Research

Exhibit 8: Deposits growth remain strong

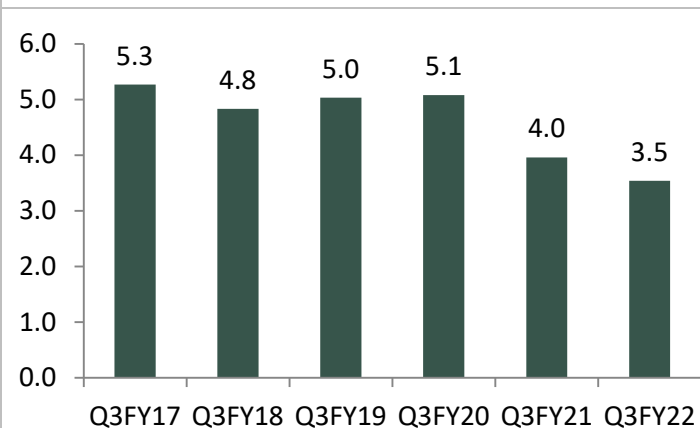
Source: Company; IDBI Capital Research

Exhibit 9: RoA improves YoY basis

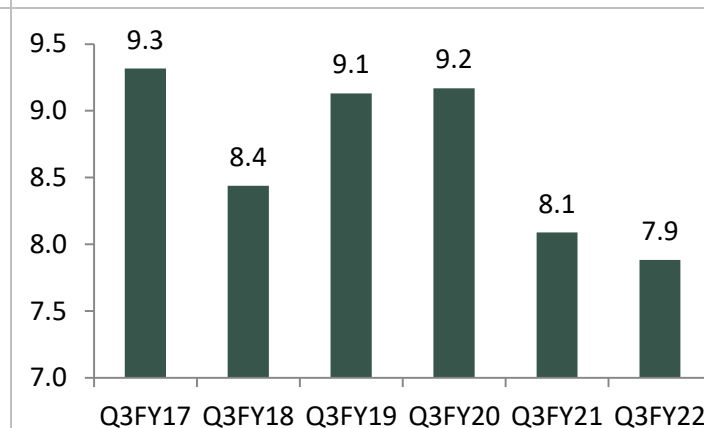
Source: Company; IDBI Capital Research

Exhibit 10: Cost to Income Ratio inched up

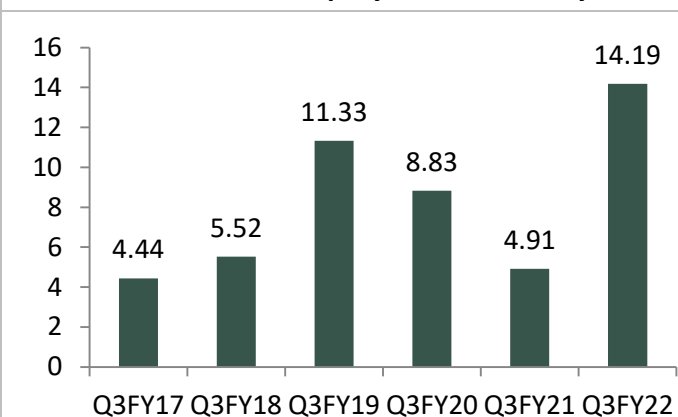
Source: Company; IDBI Capital Research

Exhibit 11: Cost of Funds shows gradual improvement

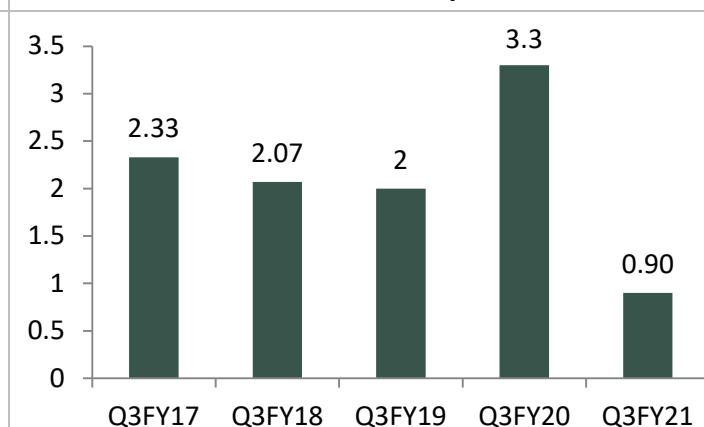
Source: Company; IDBI Capital Research

Exhibit 12: Yield on Advances declines on YoY basis

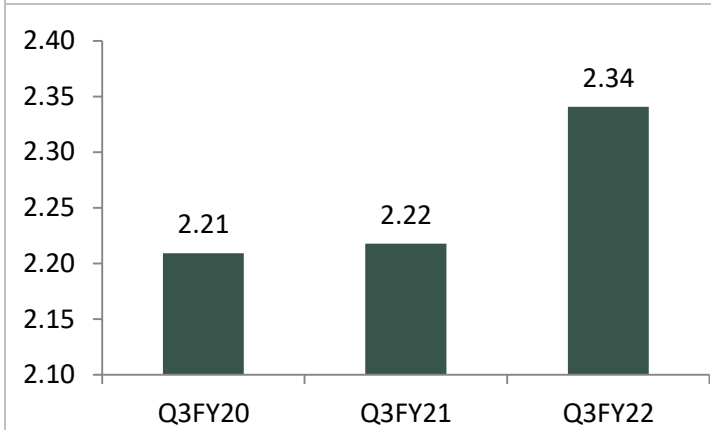
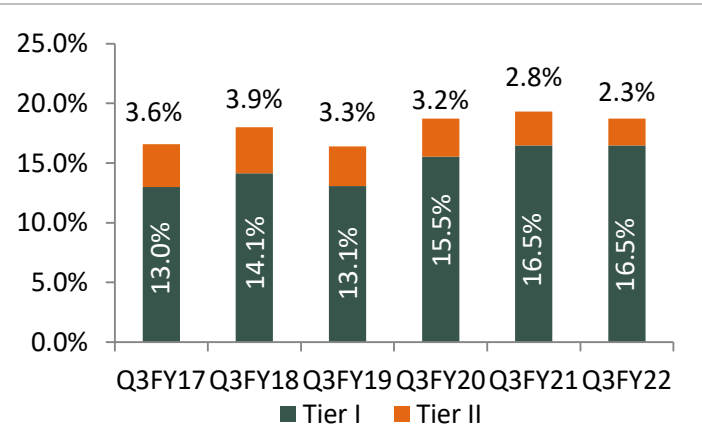
Source: Company; IDBI Capital Research

Exhibit 13: Return on Equity shows stability

Source: Company; IDBI Capital Research

Exhibit 14: Credit Cost shows improvement

Source: Company; IDBI Capital Research

Exhibit 15: Cost to Assets shows spike	Exhibit 16: CAR continues to remain strong																																				
 <table><tr><th>Quarter</th><th>Cost to Assets</th></tr><tr><td>Q3FY20</td><td>2.21</td></tr><tr><td>Q3FY21</td><td>2.22</td></tr><tr><td>Q3FY22</td><td>2.34</td></tr></table>	Quarter	Cost to Assets	Q3FY20	2.21	Q3FY21	2.22	Q3FY22	2.34	 <table><tr><th>Quarter</th><th>Tier I (%)</th><th>Tier II (%)</th><th>Total CAR (%)</th></tr><tr><td>Q3FY17</td><td>13.0%</td><td>0.6%</td><td>3.6%</td></tr><tr><td>Q3FY18</td><td>14.1%</td><td>0.2%</td><td>3.9%</td></tr><tr><td>Q3FY19</td><td>13.1%</td><td>0.2%</td><td>3.3%</td></tr><tr><td>Q3FY20</td><td>15.5%</td><td>0.7%</td><td>3.2%</td></tr><tr><td>Q3FY21</td><td>16.5%</td><td>0.3%</td><td>2.8%</td></tr><tr><td>Q3FY22</td><td>16.5%</td><td>0.8%</td><td>2.3%</td></tr></table>	Quarter	Tier I (%)	Tier II (%)	Total CAR (%)	Q3FY17	13.0%	0.6%	3.6%	Q3FY18	14.1%	0.2%	3.9%	Q3FY19	13.1%	0.2%	3.3%	Q3FY20	15.5%	0.7%	3.2%	Q3FY21	16.5%	0.3%	2.8%	Q3FY22	16.5%	0.8%	2.3%
Quarter	Cost to Assets																																				
Q3FY20	2.21																																				
Q3FY21	2.22																																				
Q3FY22	2.34																																				
Quarter	Tier I (%)	Tier II (%)	Total CAR (%)																																		
Q3FY17	13.0%	0.6%	3.6%																																		
Q3FY18	14.1%	0.2%	3.9%																																		
Q3FY19	13.1%	0.2%	3.3%																																		
Q3FY20	15.5%	0.7%	3.2%																																		
Q3FY21	16.5%	0.3%	2.8%																																		
Q3FY22	16.5%	0.8%	2.3%																																		
Source: Company; IDBI Capital Research	Source: Company; IDBI Capital Research																																				

Financial Summary

Profit & Loss Account

(Rs mn)

Year-end: March	FY19	FY20	FY21	FY22E	FY23E	FY24E
Net interest income	217,082	252,062	292,391	335,545	386,579	432,428
<i>Change (yoy, %)</i>		16.1%	16.0%	14.8%	15.2%	11.9%
Fees	123,951	133,688	125,428	132,852	156,889	175,716
Other Income	7,352	21,678	22,954	17,379	28,996	31,487
Net Revenue	348,385	407,428	440,773	485,776	572,464	639,631
Operating expenses	(158,334)	(173,046)	(183,751)	(232,472)	(238,947)	(267,869)
Employee expenses	(47,473)	(53,210)	(61,640)	(76,370)	(85,793)	(96,337)
Other expenses	(110,861)	(119,836)	(122,111)	(156,102)	(153,154)	(171,532)
Pre-Provision Profit	190,051	2,34,382	2,57,022	253,305	333,517	371,761
<i>Change (yoy, %)</i>		23.3%	9.7%	-1.4%	31.7%	11.5%
Provision	120,310	185,339	168,964	82,483	98,639	102,075
PBT	69,741	49,043	88,058	170,822	234,878	269,687
Taxes	22,970	32,770	22,173	42,996	59,119	67,880
<i>Effective tax rate (%)</i>	32.9%	66.8%	25.2%	25.2%	25.2%	25.2%
Net profit	46,771	16,273	65,885	127,826	175,760	201,807
<i>Change (yoy, %)</i>		-65.2%	304.9%	94.0%	37.5%	14.8%
EPS	18.2	5.8	21.5	41.7	57.4	65.9
Return on Equity (%)	7.2	2.1	7.1	11.9	14.4	14.4
Return on Assets (%)	0.6	0.2	0.7	1.2	1.5	1.6

Balance Sheet

(Rs mn)

Year-end: March	FY19	FY20	FY21	FY22E	FY23E	FY24E
Capital	5,143	5,643	6,127	6,127	6,127	6,127
Reserves	661,619	843,835	1,009,903	1,131,602	1,301,235	1,496,915
Networth	666,762	849,478	1,016,030	1,137,729	1,307,362	1,503,042
Deposits	5,484,713	6,401,049	7,073,061	8,046,065	9,018,694	10,108,039
Current deposits	892,654	901,144	1,132,762	1,367,831	1,533,178	1,718,367
Saving deposits	1,541,288	1,735,916	2,044,725	2,172,437	2,435,047	2,729,170
Term deposit	3,050,771	3,763,989	3,895,574	4,505,796	5,050,469	5,660,502
Borrowings	1,527,758	1,479,541	1,428,732	1,745,515	1,272,354	1,298,043
Other liabilities	330,732	421,579	443,362	496,047	540,595	580,599
Total Liab. & Equity	8,009,965	9,151,648	9,961,185	11,425,356	12,139,005	13,489,722
Cash	672,046	972,682	617,299	986,725	710,442	795,695
Advances	4,947,980	5,714,242	6,237,202	7,048,038	7,893,803	8,841,059
Investments	1,749,693	1,567,343	2,261,196	2,566,224	2,705,849	3,019,061
Fixed Assets	40,366	43,129	42,450	45,422	49,964	54,960
Other Assets	599,880	854,252	803,038	778,947	778,947	778,947
Total assets	8,009,965	9,151,648	9,961,185	11,425,356	12,139,005	13,489,722

Financial Ratios

(%)

Year-end: March	FY19	FY20	FY21	FY22E	FY23E	FY24E
Growth						
Deposits	20.9	16.7	10.5	13.8	12.1	12.1
Advances	12.5	15.5	9.2	13.0	12.0	12.0
NII	16.6	16.1	16.0	14.8	15.2	11.9
Pre-Provision Profit	21.9	23.3	9.7	-1.4	31.7	11.5
Net Profit	1596.1	-65.2	304.9	94.0	37.5	14.8
Spreads						
Yield on Assets	8.3	8.4	7.6	7.1	7.2	7.2
Cost of Funds	4.9	4.8	4.0	3.6	3.6	3.6
NIM	3.3	3.4	3.5	3.5	3.6	3.7
CASA	44.4	41.2	44.9	44.0	44.0	44.0
Operating Efficiency						
Cost-to-Income	45.4	42.5	41.7	47.9	41.7	41.9
Cost-to-Assets	2.1	2.0	1.9	2.2	2.0	2.1
Asset Quality						
GNPA	5.8	5.1	3.9	3.2	2.9	2.8
NNPA	2.3	1.6	1.1	1.3	1.2	1.3
Provision Coverage	62.1	69.0	72.4	61.3	59.4	54.3
Credit Cost	2.6	3.5	2.8	1.2	1.3	1.2
Capital Adequacy						
CAR	15.8	17.5	19.1	18.2	17.8	18.0
Tier I	12.5	14.5	16.5	15.8	15.8	16.2
Valuation						
EPS	18.2	5.8	21.5	41.7	57.4	65.9
ABV	215.4	276.2	314.5	349.6	403.6	462.4
P/E	38.7	122.1	32.8	16.9	12.3	10.7
P/BV	2.7	2.3	2.1	1.9	1.7	1.4
ROE	7.2	2.1	7.1	11.9	14.4	14.4
ROA	0.6	0.2	0.7	1.2	1.5	1.6

Source: Company; IDBI Capital Research



Notes

Dealing	(91-22) 6836 1111	dealing@idbicapital.com
---------	-------------------	-------------------------

Key to Ratings Stocks:

BUY: 15%+; **HOLD:** -5% to 15%; **SELL:** -5% and below.

IDBI Capital Markets & Securities Ltd.**Equity Research Desk**

6th Floor, IDBI Tower, WTC Complex, Cuffe Parade, Colaba, Mumbai – 400 005. Phones: (91-22) 2217 1700; Fax: (91-22) 2215 1787; Email: info@idbicapital.com

SEBI Registration: BSE & NSE (Cash & FO) – INZ000007237, NSDL – IN-DP-NSDL-12-96, Research – INH000002459, CIN – U65990MH1993GOI075578

Compliance Officer: Christina D'souza; Email: compliance@idbicapital.com; Telephone: (91-22) 2217 1907

Disclaimer

This report has been published by IDBI Capital Markets & Securities Ltd.(hereinafter referred to as “IDBI Capital”) for private circulation. This report should not be reproduced or copied or made available to others. No person associated with IDBI Capital is obligated to call or initiate contact with you for the purposes of elaborating or following up on the information contained in this report. The information contained herein is strictly confidential and meant for solely for the selected recipient and may not be altered in any way, transmitted to copied or distributed, in part or in whole, to any other person or to the media or reproduced in any form, without the prior written consent of IDBI Capital.

Recipients may not receive this report at the same time as other recipients. IDBI Capital will not treat recipients as customers by virtue of their receiving this report.

The information contained herein is from the public domain or sources believed to be reliable, but we do not make any representation or warranty that it is accurate, complete or up-to-date and it should not be relied upon as such. While reasonable care has been taken to ensure that information given is at the time believed to be fair and correct and opinions based thereupon are reasonable, due to the very nature of research it cannot be warranted or represented that it is accurate or complete and it should not be relied upon as such. In so far as this report includes current or historical information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Opinions expressed are current opinions as of the date appearing on this material only. While we endeavor to update on a reasonable basis, the information discussed in this material, IDBI Capital, its directors, employees are under no obligation to update or keep the information current. Further there may be regulatory, compliance, or other reasons that prevent us from doing so.

Prospective investors and others are cautioned that any forward-looking statements are not predictions and may be subject to change without notice.

IDBI Capital, its directors and employees and any person connected with it, will not in any way be responsible for the contents of this report or for any losses, costs, expenses, charges, including notional losses/lost opportunities incurred by a recipient as a result of acting or non-acting on any information/material contained in the report.

This is not an offer to sell or a solicitation to buy any securities or an attempt to influence the opinion or behavior of investors or recipients or provide any investment/tax advice.

This report is for information only and has not been prepared based on specific investment objectives. The securities discussed in this report may not be suitable for all investors. Investors must make their own investment decision based on their own investment objectives, goals and financial position and based on their own analysis.

Trading in stocks, stock derivatives, and other securities is inherently risky and the recipient agrees to assume complete and full responsibility for the outcomes of all trading decisions that the recipient makes, including but not limited to loss of capital.

Opinions, projections and estimates in this report solely constitute the current judgment of the author of this report as of the date of this report and do not in any way reflect the views of IDBI Capital, its directors, officers, or employees.

This report is not directed or intended for distribution to, or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction, where such distribution, publication, availability or use would be contrary to law, regulation or which would subject IDBI Capital and associates to any registration or licensing requirement within such jurisdiction. The securities described herein may or may not be eligible for sale in all jurisdictions or to certain category of investors. Persons in whose possession this report may come are required to inform themselves of and to observe such restriction.

E-mail is not a secure method of communication. IDBI Capital cannot accept responsibility for the accuracy or completeness of any e-mail message or any attachment(s).

This transmission could contain viruses, be corrupted, destroyed, incomplete, intercepted, lost or arrived late. IDBI Capital, its directors or employees or associates accept no liability for any damage caused, directly or indirectly, by this email.

Analyst Disclosures

We, Bunty Chawla and Melwin Mathew, hereby certify that the views expressed in this report accurately reflect our personal views about the subject companies and / or securities. We also certify that no part of our compensation were, are or would be directly or indirectly related to the specific recommendations or views expressed in this report. Principally, we will be responsible for the preparation of this research report and have taken reasonable care to achieve and maintain independence and objectivity in making any recommendations herein.

Other Disclosure

IDBI Capital Markets & Securities Ltd.(herein after referred to as “IDBI Capital”) was incorporated in the year 1993 under Companies Act, 1956 and is a wholly owned subsidiary of IDBI Bank Limited. IDBI Capital is one of India’s leading securities firm which offers a full suite of products and services to individual, institutional and corporate clients namely Stock broking (Institutional and Retail) , Distribution of financial products, Merchant Banking, Corporate Advisory Services, Debt Arranging & Underwriting, Portfolio Manager Services and providing Depository Services. IDBI Capital is a registered trading and clearing member of BSE Ltd. (BSE) and National Stock Exchange of India Limited (NSE). IDBI Capital is also a SEBI registered Merchant Banker, Portfolio Manager and Research Analyst. IDBI Capital is also a SEBI registered depository participant with National Securities Depository Limited (NSDL) and is also a Mutual Fund Advisor registered with Association of Mutual Funds in India (AMFI).

IDBI Capital and its associates IDBI Bank Ltd. (Holding Company), IDBI Intech Ltd. (Fellow Subsidiary), IDBI Asset Management Ltd. (Fellow Subsidiary) and IDBI Trusteeship Services Ltd. (Fellow Subsidiary).

IDBI Group is a full-serviced banking, integrated investment banking, investment management, brokerage and financing group. Details in respect of which are available on www.idbicapital.com IDBI Capital along with its associates are leading underwriter of securities and participants in virtually all securities trading markets in India. We and our associates have investment banking and other business relationships with a significant percentage of the companies covered by our Research Department. Investors should assume that IDBI Capital and/or its associates are seeking or will seek investment banking or other business from the company or companies that are the subject of this material. IDBI Capital generally prohibits its analysts, persons reporting to analysts, and their dependent family members having a financial conflict of interest in the securities or derivatives of any companies that the analysts cover. Additionally, IDBI Capital generally prohibits its analysts and persons reporting to analysts from serving as an officer, director, or advisory board member of any companies that the analysts cover. Our sales people, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that are inconsistent with the recommendations expressed herein. In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest. Directors of IDBI Capital or its associates may have interest in the Companies under recommendation in this report either as Director or shareholder. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This material should not be construed as an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. We are not soliciting any action based on this material. It is for the general information of clients of IDBI Capital. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Before acting on any advice or recommendation in this material, clients should consider whether it is suitable for their particular circumstances and, if necessary, seek professional advice. The price and value of the investments referred to in this material and the income from them may go down as well as up, and investors may realize losses on any investments. Past performance is not a guide for future performance, future returns are not guaranteed and a loss of original capital may occur. We and our associates, officers, directors, and employees, including persons involved in the preparation or issuance of this material, may from time to time have “long” or “short” positions in, act as principal in, and buy or sell the securities or derivatives thereof of companies mentioned herein. For the purpose of calculating whether IDBI Capital and its associates holds beneficially owns or controls, including the right to vote for directors, 1% of more of the equity shares of the subject issuer of a research report, the holdings does not include accounts managed by IDBI Asset Management Company/ IDBI Mutual Fund.

IDBI Capital hereby declares that our activities were neither suspended nor we have materially defaulted with any Stock Exchange authority with whom we are registered in last five years. However SEBI, Exchanges and Depositories have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on IDBI Capital for certain operational deviations. We have not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has our certificate of registration been cancelled by SEBI at any point of time. IDBI Capital, its directors or employees or associates, may from time to time, have positions in, or options on, and buy and sell securities referred to herein. IDBI Capital or its associates, during the normal course of business, from time to time, may solicit from or perform investment banking or other services for any company mentioned in this document or their connected persons or be engaged in any other transaction involving such securities and earn brokerage or other compensation or act as a market maker in the financial instruments of the company(ies) discussed herein or their affiliate companies or act as advisor or lender / borrower to such company(ies)/associates companies or have other potential conflict of interest. This report may provide hyperlinks to other websites. Except to the extent to which the report refers to the website of IDBI Capital, IDBI Capital states that it has not reviewed the linked site and takes no responsibility for the content contained in such other websites. Accessing such websites shall be at recipient's own risk. IDBI Capital encourages the practice of giving independent opinion in research report preparation by the analyst and thus strives to minimize the conflict in preparation of research report. Accordingly, neither IDBI Capital nor Research Analysts have any material conflict of interest at the time of publication of this report. We offer our research services to primarily institutional investors and their employees, directors, fund managers, advisors who are registered with us. The Research Analyst has not served as an officer, director or employee of Subject Company. We or our associates may have received compensation from the subject company in the past 12 months. We or our associates may have managed or co-managed public offering of securities for the subject company in the past 12 months. We or our associates may have received compensation for investment banking or merchant banking or brokerage services from the subject company in the past 12 months. We or our associates may have received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past 12 months. We or our associates may have received any compensation or other benefits from the Subject Company or third party in connection with the research report. Research Analyst or his/her relative's may have financial interest in the subject company. IDBI Capital or its associates may have financial interest in the subject company. Research Analyst or his/her relatives does not have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report. IDBI Capital or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report. The Subject Company may have been a client during twelve months preceding the date of distribution of the research report. Price history of the daily closing price of the securities covered in this note is available at www.bseindia.com; www.nseindia.com and www.economictimes.indiatimes.com/markets/stocks/stock-quotes.